

PROCEDURES FOR REPORTING AND INVESTIGATING FRAUD, EMBEZZLEMENT AND FISCAL DISHONESTY

This policy governs the procedures for identifying and investigating any employee fraud, embezzlement, or fiscal dishonesty and, when appropriate, to pursue all legal remedies available under the law.

A. Roles and Responsibilities

1. Management. Account Managers of LCPS shall be familiar with the content of this policy and the types of improprieties that could occur within their areas of responsibilities. Account Managers shall also be responsible for implementing required procedures to assure the safety and security of LCPS' assets, revenue, and financial data. Any irregularity that is detected or suspected shall be reported immediately to their Supervisor and the Executive Director of Financial Services.

2. All Employees. Any employee who has knowledge of an occurrence of employee fiscal dishonesty, theft or fraud, shall notify their immediate supervisor. The supervisor should contact the Principal or Department Head, who will then contact the Executive Director of Financial Services. Any employee may contact the Executive Director of Financial Services directly if the situation warrants.

3. Department of Business and Financial Services. The Chief Financial Officer is charged with stewardship of the cash assets of the school system. This Department shall be responsible for establishing and monitoring internal controls over cash management that will detect or prohibit fraud and embezzlement.

4. Risk Management. When there is suspected fraud, embezzlement or fiscal dishonesty, the Division of Procurement and Risk Management will immediately notify the current commercial crime insurer of a possible loss situation.

5. Disciplinary and Legal Action

- a. LCPS will take appropriate disciplinary and legal actions against responsible employees and/or other individuals or entities, to include the possibility of termination of employment, or provision of restitution. Employees who knowingly make false accusations will be subject to disciplinary action. Employees who retaliate against anyone for reporting fraud or for cooperating, giving testimony, or participating in an audit or investigation, or any other investigative or related proceeding or hearing, will also be subject to disciplinary action.

PROCEDURES FOR REPORTING AND INVESTIGATING FRAUD,
EMBEZZLEMENT AND FISCAL DISHONESTY

- b. When there is suspected fraud, embezzlement, or fiscal dishonesty, the Department of Human Resources and Talent Development will contact the appropriate law enforcement agency for conducting a criminal investigation unless the Department of Human Resources and Talent Development is a target of the suspected activity. In that event, then the Chief Financial Officer of Business and Financial Services shall notify law enforcement.

Adopted: 1/9/07

Revised: 10/13/09, 6/7/16

Current Revision: 4/5/22

Legal Ref: Code of Virginia, 1950, as amended, § [15.2-2511.2](#)